TOPIC 1 · THE GLOBAL ECONOMY

Reuters (via RTÉ) · ABC News
Friday 30 October 2026

Missile strike on Saudi refinery keeps oil near US$115

> An attack claimed by Yemen's Houthis on Saudi Arabia's largest refinery has renewed fears about Middle East oil supply, keeping crude prices at levels that are feeding inflation around the world, including in Australia.

WHAT HAPPENED

- The Iran-aligned Houthis said a missile hit Saudi Arabia's biggest refinery, which can process **550,000 barrels a day**. Saudi authorities had not immediately confirmed the strike.
- **Brent crude** rose about 1% to **US$115.02** a barrel on 28 October; US crude (WTI) rose 1.7% to **US$101.61**.
- US crude stockpiles unexpectedly **fell about 2 million barrels**, adding to the upward pressure. Brent eased to about US$113.90 on Thursday.
- Analysts (ING) expect a **risk premium** to stay in prices until US policy towards Iran is clearer, possibly after the 3 November US midterms. **OPEC+** meets on Sunday and is expected to hold output targets.

Supply shock: an unexpected change in the supply of a key input that shifts costs across the economy. **Risk premium:** the extra price traders pay because of the chance of future disruption.

KEY NUMBERS

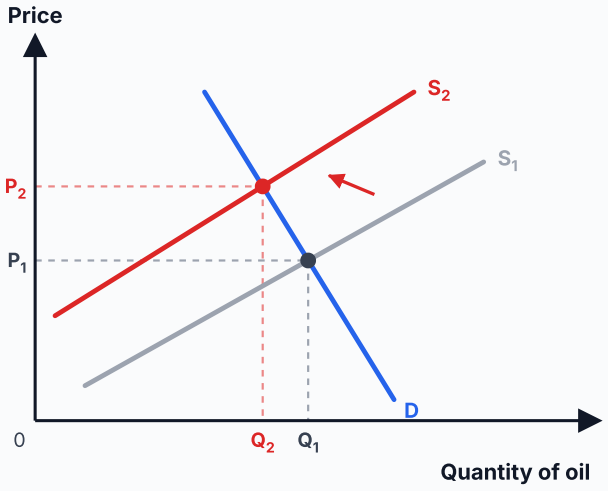
US$115
Brent crude, 28 Oct (+1%)

550k
barrels/day capacity of the refinery hit

US$101.6
US crude (WTI), up 1.7%

9.4%
rise in Australian fuel prices in Sept (ABS)

DIAGRAM — Why a supply disruption causes a big price rise



Conceptual diagram, not to scale

In the short run, **demand for oil is price-inelastic** (steep D): motorists, airlines and freight firms cannot quickly switch fuels.

When conflict shifts supply from **S_1 to S_2**, quantity falls only a little (Q_1 to Q_2), but the **price jumps** from P_1 to P_2. Even the *threat* of disruption shifts supply as traders build in a risk premium.

Exam angle: for an oil-importing economy like Australia, the same shock shifts **SRAS** to the left on an AD/AS diagram: higher prices **and** lower output (stagflation), which leaves central banks with a policy dilemma.

FLOW CHART — From the Gulf to the bowser

Strike on Saudi refinery → Oil supply risk rises → Brent crude ~US$115 → Petrol and freight costs rise → **Cost-push inflation worldwide**

SYLLABUS LINK

Topic 1 – global supply shocks and the international business cycle.
Topic 3 – cost-push inflation; external shocks to the Australian economy.

TRY THIS

Draw an AD/AS diagram to show how a sustained rise in world oil prices affects output and the price level in an oil-importing economy. **(4 marks)**

Explain why a supply shock creates a policy dilemma for central banks. **(3 marks)**

Sources: RTÉ/Reuters: rte.ie/news/business/2026/1028/1597079-world-oil-prices/ · ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/10732 1622